

recognition of things as they are, we recommend that directors be held to the duty of observing the market price of their securities and of using all proper efforts to correct patent discrepancies, in the same way as they would endeavor to remedy any other corporate condition inimical to the stockholders' interest.

Various Possible Moves for Correcting Market Prices for Shares. The forms that these proper efforts might take are various. In the first place the stockholders' attention may be called officially to the fact that the liquidating, and therefore the minimum, value of the shares is substantially higher than the market price. If, as will usually be the case, the directors are convinced that continuance is preferable to liquidation, the reasons leading to this conclusion should at the same time be supplied. A second line of action is in the direction of dividends. A special endeavor should be made to establish a dividend rate proportionate at least to the liquidating value, in order that the stockholders should not suffer a loss of income through keeping the business alive. This may be done even if current earnings are insufficient, provided there are accumulated profits and provided also the cash position is strong enough to permit such payments.

A third procedure consists of returning to the stockholders such cash capital as is not needed for the conduct of the business. This may be done through a pro rata distribution, accompanied usually by a reduction in par value or through an offer to purchase a certain number of shares pro rata at a fair price. Finally, a careful consideration by the directors of the discrepancy between earning power and liquidating value may lead them to conclude that a sale or winding up of the enterprise is the most sensible corrective step—in which case they should act accordingly.

Examples: Otis Company, 1929–1939. The course of action followed by the Otis Company management in 1929–1930 combined a number of these remedial moves. In July 1929 the president circularized the shareholders, presenting an intermediate balance sheet as of June 30 and emphasizing the disparity between the current bid price and the liquidating value. In September of that year—although earnings were no larger than before—dividend payments were resumed, a step permitted by the company's large cash holdings and substantial surplus. In 1930 a good part of the cash, apparently not needed in the business, was returned to the stockholders through the redemption of the small pre-